

Information Technology Budget

FY 2025-2026

This document presents the IT department budget for TechCorp Global Ltd. for the fiscal years 2025 and 2026. It includes cloud infrastructure, software licensing, personnel, and capital expenditure. Prepared by the IT Finance team for CFO review.

Executive Summary

Total IT spend for FY2025 was \$6.2M, representing 8.4% of company revenue (\$73.8M ARR). Cloud infrastructure is the fastest-growing cost category, increasing 48% year-over-year to \$1.84M annually. This growth significantly exceeds the budgeted \$1.4M, creating a \$440,000 overrun. The primary drivers were unplanned AI/ML workloads on GPU instances (\$312,000) and a misconfigured autoscaling policy that ran for six weeks before detection (\$89,000 in excess charges).

TOTAL IT SPEND	CLOUD SPEND	CLOUD BUDGET	OVERRUN
\$6.2M	\$1.84M	\$1.4M	\$440K
FY 2025	FY 2025 actual	FY 2025 planned	+31.4%

Cloud Spend by Category

Category	FY2024 Actual	FY2025 Budget	FY2025 Actual	Variance
Compute (EC2/VMs/GCE)	\$720K	\$780K	\$890K	+\$110K
Storage & Databases	\$180K	\$200K	\$215K	+\$15K
Data Transfer & CDN	\$95K	\$100K	\$189K	+\$89K
ML & GPU Compute	\$42K	\$80K	\$392K	+\$312K
Managed Services	\$105K	\$120K	\$108K	-\$12K
Monitoring & Security	\$60K	\$80K	\$46K	-\$34K
TOTAL	\$1.202M	\$1.4M	\$1.84M	+\$440K

Cloud Provider Split (FY2025)

Provider	Annual Spend	% of Cloud	Primary Usage
AWS	\$1,250,000	67.9%	Primary workloads, compute, RDS
Microsoft Azure	\$420,000	22.8%	Microsoft 365 integration, AD, analytics
Google Cloud	\$170,000	9.2%	BigQuery analytics, ML training
TOTAL	\$1,840,000	100%	

Identified Waste & Optimisation

An informal review conducted by the Infrastructure team in November 2025 identified the following cost reduction opportunities. No formal tooling is currently used for ongoing cost monitoring.

Issue	Estimated Monthly Waste	Status
Oversized EC2 instances (m5.4xlarge at <15% CPU)	\$14,200	Identified, not actioned
Unused EBS volumes (orphaned snapshots)	\$3,800	Identified, not actioned
Dev environments running 24/7	\$8,900	Identified, not actioned
Reserved instance coverage only 22%	\$19,000	Under review
Multi-region data transfer charges	\$7,400	Under investigation
Old ML training jobs (not terminated)	\$6,100	Identified, not actioned

Estimated total monthly waste: \$59,400/month (\$712,800/year). No automated monitoring or alerting is in place for cost anomalies.

FY2026 Cloud Budget Forecast

Given FY2025 actual spend of \$1.84M and planned additional AI infrastructure, the FY2026 cloud budget has been set at \$2.1M -- a 14% increase. However, the IT Finance team recommends conducting a formal cloud cost audit before approving this budget, as the identified waste of \$712K/year represents a significant optimisation opportunity that could fund planned AI expansion without requiring additional budget.

Quarter	Cloud Budget	AI/ML Budget	Total IT Budget	Notes
Q1 2026	\$490K	\$120K	\$1.42M	Audit Q1
Q2 2026	\$510K	\$150K	\$1.48M	Optimise
Q3 2026	\$530K	\$180K	\$1.55M	
Q4 2026	\$570K	\$200K	\$1.65M	
FY 2026	\$2.1M	\$650K	\$6.1M	Total